

EG Oil Markets Weekly: Hormuz closure will endure as escalation risk drives volatility

送信者: EG Energy, Climate & Resources 受信日時: 2026-07-28 02:10

[【メール原文】](#)

Oil Markets Weekly

27 Jul 2026 13:08 EDT

Hormuz closure will endure as escalation risk drives volatility

-
- * Brent crude rose to \$100 per barrel before falling sharply on risk of US escalation against Iran, and with tensions still high, prices will likely remain volatile.
 - * Shipping companies expect the Strait of Hormuz to remain mostly closed for three to six more weeks.
 - * Houthi attacks will disrupt Saudi oil flows out of the Red Sea but will not fully shut traffic through the Bab al Mandeb.

US-Iran escalation risk will drive price volatility. Brent crude rose above \$100 per barrel late last week after reports indicated that the US was preparing for a significant escalation in its confrontation with Iran. Prices then fell just as sharply over the weekend and into Monday, with Brent dropping below \$90 as US paused strikes on Iran amid reports of possible diplomatic progress.

Without clear de-escalation, tensions and market volatility will remain high because US could escalate with little warning. Prices will likely stay in a \$75-\$95 per barrel range, while escalation could push them to \$90-\$110 due to the risk of damage to regional infrastructure (see: Escalation likely as Iran sees a path to controlling Hormuz , 16 July 2026).

Transits through the Strait of Hormuz will remain depressed. Although the US has held off on more intensive bombing of Iran, risks to shipping in the strait remain acute. As a result, shippers are holding off on transits, with ship-tracking firm Kpler confirming only a few passages per day. Along with the drop in shipping volumes, Middle East oil flows have fallen back to levels seen before the late June US-Iran deal briefly reopened the strait.

Shipping firms expect the status quo to persist for at least the next three to six weeks. Despite the ongoing confrontation between the US and Iran, an international naval task force has continued minesweeping operations in the central waterway, while the US is still offering escort services for ships willing to transit along the southern route near Oman's coastline.

Houthi disruption in the Red Sea will scramble Saudi oil flows. The Houthi declaration of a “maritime blockade” of Saudi Arabia early last week (see: Houthis likely to launch limited attacks to extract Saudi payoffs , 20 July 2026) has disrupted shipments of Saudi oil through the Bab al Mandeb. However, as Eurasia Group anticipated, the disruption has not shut traffic through the waterway, though the number of passages has notably declined since the Houthi declaration on 20 July. Non-Saudi oil shipments continue, and some Chinese-linked ships carrying Saudi oil have passed without incident.

Saudi Arabia can continue to export oil from the Yanbu terminal through the more circuitous and more costly Suez Canal route. Houthi action will add pressure to prices, but it will not cause a Hormuz-style supply shutdown.

Sporadic disruptions to Kazakh exports will add to price pressures. The Caspian Pipeline Consortium (CPC), which handles more than 1.5 million barrels per day of Kazakh exports, briefly shut down due to Ukrainian attacks on Russian tanker traffic. Although Eurasia Group did not expect the shutdown to last (see: Prices will rise further as multiple geopolitical conflicts tighten the market , 20 July 2026), the risk of further short-term disruptions will likely remain elevated as Ukraine continues to target Russian energy infrastructure.

EG Energy, Climate & Resources

ecr@eurasiagroup.net

Gregory Brew

Senior Analyst, Iran & Energy

+1 646 259 3207

brew@eurasiagroup.net

PDF or Print | Get the EG iOS or Android mobile Apps for content on the go

Explanation of Political Trajectories (ie, “Trajectories”)

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group’s country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26976_9d9ab50e

To manage your email preferences [click here](#) | To manage your research content alerts [click here](#)